

Veolia - investment capacity to 31/12/2027 under the leverage commitment

Capstone Subject 2 - perimeter: Financial capacity. Workshop 2 working model.

Question: how much can Veolia commit to acquisitions between 1 July 2026 and 31 December 2027 while ending 2027 at net debt / EBITDA $\leq 3.0x$?

How to read it

Inputs - every hard-coded number, with document, PDF page and how it was derived. Blue = input, yellow = judgement call to defend.

Spent - Block 1: what has gone out against the EUR 4bn GreenUp envelope, gross and net of disposals.

Start - Block 2: starting position (net debt, EBITDA, leverage, maturities, liquidity) and the two net-debt figures that do not reconcile.

Step-by-step - the base case laid out line by line: EBITDA build, net debt roll-forward, leverage test, capacity. Start here.

Engine - Blocks 3-4: one column per case. Green cells link to Inputs; blue cells in a case column are that case's overrides.

Summary - the capacity range by case and the three sources of capacity (retained FCF, disposals, leverage headroom).

Formulas - the four standard formulas (leverage, headroom, available cash, practical capacity) applied and corrected.

Tornado - Block 5: one-way sensitivities ranked by swing, computed from the Engine.

Rating - cross-check against the agency trigger (Moody's FFO/net debt). Low confidence until the PDF is read.

Method (Engine)

$NFD_{Dec-26} = NFD_{Jun-26} - \text{net FCF}_{H2-26} + \text{dividends/coupons}_{H2-26} + \text{buyback} - \text{disposals}_{H2-26} + \text{FX/other}$

$NFD_{Dec-27 \text{ before new M\&A}} = NFD_{Dec-26} - \text{net FCF}_{2027} + \text{all dividends \& hybrid coupons}_{2027} + \text{buyback} - \text{disposals}_{2027} + \text{FX/other}$

$\text{Max } NFD_{Dec-27} = \text{leverage cap} \times EBITDA_{2027}$ (EBITDA net of what the disposals take away)

$\text{Capacity} = (\text{Max } NFD - NFD_{\text{before M\&A}}) / (1 - \text{cap} \times f / \text{deal multiple})$, f = share of acquired EBITDA counted in the 2027 ratio (0 = none, 1 = full pro forma)

Definitions follow Veolia's own (H1-2026 report, PDF p.31): leverage = $NFD_{\text{incl. IFRS 16}} / EBITDA_{\text{incl. IFRS 16}}$; net FCF is before dividends and financial investments.

Rule followed: no number in this workbook was typed in as a result. Results are formulas over sourced inputs.

Investment capacity to 31/12/2027 - summary (EUR m)

Line	Base	GreenUp met	Downside	Upside
NFD 30/06/2026 (actual)	24,548	24,548	24,548	24,548
NFD 31/12/2026e	22,982	22,982	23,100	22,882
Leverage 31/12/2026e	3.08x	3.08x	3.09x	3.06x
Check vs 2026 guidance	consistent	consistent	consistent	consistent
EBITDA 2027e	7,848	7,910	7,788	7,914
NFD 31/12/2027e before new M&A	22,192	22,192	23,046	21,692
Leverage 31/12/2027e before new M&A	2.83x	2.81x	2.96x	2.74x
Maximum NFD at cap	23,545	23,730	23,364	23,741
Leverage headroom (debt room)	1,353	1,538	318	2,049
ACQUISITION CAPACITY (EV)	1,353	1,538	318	2,928
Source 1 - retained FCF	856	856	502	856
Source 2 - disposals net of EBITDA lost	1,230	1,230	775	1,700
Source 3 - leverage room vs Jun-26 debt	(733)	(548)	(959)	(507)
Source 4 - pro forma uplift	-	-	-	878
Range across the four cases				
Low	318			
High	2,928			
Block 1 cross-reference: EUR 4bn envelope remaining (gross / net readings)				
Gross / net of disposals	(1,721)	(602)		

Step-by-step calculation, base case (EUR m unless stated)

Every number is a formula over the Inputs sheet. Change an input there and this sheet recalculates. Column C holds 2026: EBITDA is the full year, cash flows are July-December only (H1 is already in the June debt).

Step	Line	2026	2027	Total Jul-26 to Dec-27	How it is calculated	Source / input
A. Operating profit (EBITDA) - the denominator of the leverage test						
A1	EBITDA of the existing business, prior year	7,050	7,374		2026: FY2025 EBITDA. 2027: the 2026 figure from A4.	Inputs: EBITDA FY2025 (H1-26 report p.6)
A2	Organic growth	5.5%	5.0%		2026: guidance mid-point. 2027: GreenUp ~5%.	Inputs: Org26, Org27
A3	Currency effect	(0.9%)	-		2026: H1 effect extrapolated. 2027: none assumed.	Inputs: FX26
A4	EBITDA of the existing business	7,374	7,743		A1 x (1 + A2 + A3)	
A5	Clean Earth EBITDA, full year	162	170		(Price / EV-to-EBITDA multiple - run-rate synergies) / USD per EUR. 2027 grows with A2.	Inputs: CE_EV, CE_Mult, CE_Syn, USD_EUR (briefing p.21)
A6	Months of Clean Earth consolidated	7	12		Closed 1 June 2026.	Inputs: CE_Months26
A7	Clean Earth contribution	94	170		A5 x A6 / 12	
A8	Clean Earth synergies	-	26		Run-rate synergies x share achieved in 2027 / USD per EUR	Inputs: CE_Syn, CE_SynPh27
A9	EBITDA lost through asset sales	-	(90)		-(H2-26 sales + half of 2027 sales) / multiple of assets sold	Inputs: DispMult
A10	GROUP EBITDA	7,469	7,848		A4 + A7 + A8 + A9	
B. Net debt roll-forward - the numerator of the leverage test						
B1	Net debt, opening	24,548	22,982		2026: actual at 30 June. 2027: closing 2026 from B11.	Inputs: NFD_J26 (H1-26 report p.26)
B2	Net free cash flow, full year	1,196	1,214		Prior year x (1 + growth). Net FCF is after capex, interest and tax, before dividends.	Inputs: FCF25, FCF_g, CE_FCF27
B3	Less: net FCF already in the June debt (H1 2026)	288	-		H1 2026 net FCF was negative (-288), so H2 is the full year plus 288.	Inputs: FCF_H126 (H1-26 report p.26)
B4	Net free cash flow in the period	1,484	1,214	2,698	B2 + B3	
B5	Parent dividend	-	1,187	1,187	Paid in May. 2027 = 2026 dividend x (1 + growth).	Inputs: DivPar26, DivGrowth
B6	Minority dividends and hybrid coupons	134	353		H2-26: what FY2025 paid beyond H1-2025. 2027: minorities + coupons scaled to the 487 smaller hybrid stock.	Inputs: DivCF25, Coup25, DivBridgeH125, DivMin, Hyb25, HybRed
B7	Net share buyback	84	84		168 Capital reduction less employee share issue (FY2025 pattern).	Inputs: Buyback
B8	Asset sale proceeds	300	1,200	1,500	Programme x share cashed by end-2027, split H2-26 / 2027.	Inputs: DispTotal, DispShare, DispShareH2
B9	Currency and other effects on debt	-	-		- Positive = debt goes up.	Inputs: FX_H2, FX_27
B10	Change in net debt	(1,566)	(790)	(2,356)	B4 + B5 + B6 + B7 - B8 + B9	
B11	NET DEBT, CLOSING (before any new acquisition)	22,982	22,192		B1 + B10	
C. Leverage test and acquisition capacity						
C1	Leverage = net debt / EBITDA	3.08x	2.83x		B11 / A10	
C2	Leverage limit	3.00x	3.00x		2026: guidance '3x or slightly above'. 2027: the <=3x commitment.	Inputs: Lguid26, Lmax
C3	Maximum net debt allowed	22,406	23,545		C2 x A10	
C4	Debt headroom	(576)	1,353		C3 - B11. Negative in 2026 = slightly above 3x, as guided.	
C5	Share of acquired EBITDA counted in the ratio		-		0 = conservative; 100% if the ratio is pro forma.	Inputs: ProForma
C6	EV/EBITDA paid on acquisitions		10.00x			Inputs: DealMult
C7	ACQUISITION CAPACITY, Jul-26 to Dec-27 (enterprise value)		1,353		C4 / (1 - C2 x C5 / C6): every EUR of deal adds debt, and C5/C6 of it in EBITDA.	
D. Checks						
D1	Check: equals Engine base case (should be 0)		-		Two independent layouts of the same calculation.	
D2	Check: 2026 leverage vs guidance		consistent with guidance		Guidance: '3x or slightly above, Clean Earth included' (H1-26 p.29).	

Capacity with the four standard formulas (base case, EUR m)

1-2. Net leverage and debt headroom TODAY (30/06/2026, last-12-months EBITDA)

Net leverage = net debt / EBITDA 3.39x June debt peak / LTM EBITDA.
 Debt headroom = Lmax x EBITDA - net debt (2,843) Negative: on today's figures there is no room. Misleading: June is the seasonal peak and no future cash is counted.

1-2. Same formulas at the TEST DATE (31/12/2027, base-case forecast before new deals)

Net leverage = net debt / EBITDA 2.83x The 3x is tested at year-end on Veolia's own definition (no bank covenant at parent level: FY25 p.67).
 Debt headroom = Lmax x EBITDA 2027 - net debt end-2027 1,353 Net debt end-2027 already includes cash from operations, dividends and disposals.

3. Cash available for investment, Jul-2026 to Dec-2027

+ Opening cash (incl. liquid assets)	9,332
+ Cash generated: net FCF H2-26 + 2027	2,698 Net FCF is after capex, interest and tax.
- Dividends, hybrid coupons, buyback	(1,842)
+ Disposal proceeds	1,500
+ Permitted borrowing (undrawn committed lines)	5,873 Excludes new bond issues: Veolia raised EUR 3.9bn in H1-2026, so this is prudent.
- Repayments (current debt + H2-2027 maturities)	(13,320) Assumes nothing is refinanced.
- Committed spending	-
- Minimum cash reserve	(2,000)
Available cash (total)	2,242 Before any refinancing in the bond market.

4. Practical investment capacity

As written: min(available cash, headroom + cash from operations) - committed 2,209 Overstates: the end-2027 headroom already contains the cash from operations, so it is counted twice.
Corrected: min(available cash, end-2027 headroom) - committed 1,353 Headroom taken from the full net-debt forecast at the test date, as the note to formula 4 recommends.
 Binding constraint Leverage (3x)
 If acquired EBITDA counts in the 2027 ratio (deal at the input multiple) 1,933 Each EUR 1 of EV buys 1/multiple of EBITDA, which raises the limit by 3/multiple.

Key	Input	Value	Unit	Source document	PDF page	Derivation / note	Confidence
Starting position							
NFD_J26	Net financial debt 30/06/2026	24,548	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	26	Closing NFD, Veolia definition (excl. Suez PPA remeasurement). Bridge table 3.3.1.	High
NFD_D25	Net financial debt 31/12/2025 (bridge basis)	19,657	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	25-26	Opening NFD in the H1-2026 bridge.	High
NFD_D25s	Net financial debt 31/12/2025 (statutory note)	19,821	EUR m	Consolidated financial statements 31/12/2025	66	Note 8.3.2.1. Also shown as 12/31/2025 in H1-2026 key figures (p.6). Gap vs bridge basis = Suez PPA remeasurement (to confirm).	High
NFD_D24	Net financial debt 31/12/2024	17,819	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	6	Key figures and opening of H1-2025 bridge (p.26).	High
NFD_J25	Net financial debt 30/06/2025	20,764	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	26		High
NFD_D23	Net financial debt 31/12/2023	17,903	EUR m	Amendment to 2023 URD - Half-year report 30/06/2024	6	Key figures, 12/31/2023 column.	High
EBITDA24	EBITDA FY2024	6,788	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	6		High
EBITDA25	EBITDA FY2025	7,050	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	6		High
EBITDA_H124	EBITDA H1 2024	3,266	EUR m	Amendment to 2023 URD - Half-year report 30/06/2024	6	As published in 2024 (not restated).	Medium
EBITDA_H125	EBITDA H1 2025	3,367	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	6		High
EBITDA_H126	EBITDA H1 2026	3,552	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	6		High
Net free cash flow (Veolia definition: before dividends, financial investments and divestitures)							
FCF23	Net FCF FY2023	1,143	EUR m	Amendment to 2023 URD - Half-year report 30/06/2024	6		High
FCF24	Net FCF FY2024	1,156	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	6		High
FCF25	Net FCF FY2025	1,178	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	6		High
FCF_H125	Net FCF H1 2025	(451)	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	26		High
FCF_H126	Net FCF H1 2026 (actual)	(288)	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	26		High
FCF_g	Net FCF growth per year 2026-27	1.5%	%	Derived		Base = 2023-25 CAGR of net FCF (formula). Net FCF has been flat while EBITDA grew: capex and WCR absorb the growth.	Medium
CE_FCF27	Clean Earth incremental net FCF 2027	-	EUR m	Judgement		EBITDA ~EUR 0.2bn less capex, cash tax and interest on ~EUR 2.8bn of acquisition debt (net FCF is after interest) ~ zero. Replace with Enviri 10-K data.	Low
Shareholder and hybrid outflows							
DivPar26	Parent dividend paid 2026 (on FY2025)	1,099	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	14	EUR 1.50/share paid 13/05/2026.	High
DivGrowth	Parent dividend growth 2027	8.0%	%	Amendment to 2025 URD - Half-year report 30/06/2026	29	Guidance: dividend growth in line with current EPS, current net income +8% minimum.	Medium
DivMin	Dividends to minorities per year	257	EUR m	Consolidated financial statements 31/12/2025 / Amendment to 2025 URD - Half-year report 30/06/2026	7-8 / 6	FY2025 dividends paid (cash flow statement, 1,280) less parent dividend (H1-2025 key figures, 1,023).	Medium
DivCF25	Dividends paid FY2025, cash flow statement	1,280	EUR m	Consolidated financial statements 31/12/2025	8	Parent + minorities.	High
DivPar25	Parent dividend paid 2025	1,023	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	6	H1-2025 column. NB FY2025 column of the same table shows 895: inconsistency to raise.	Medium
Coup25	Hybrid coupons paid FY2025	121	EUR m	Consolidated financial statements 31/12/2025	8		High
Hyb25	Hybrid stock end-2025	4,100	EUR m	Consolidated financial statements 31/12/2025	74	Note 9.4.2, 'EUR 4.1 billion'.	High
HybRed	Hybrid redeemed Feb-2026	850	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	14	Already reclassified as debt at 31/12/2025 (FY25 p.74), so no further NFD impact.	High
DivBridgeH125	Dividends + coupons in H1-2025 NFD bridge	1,267	EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	26	Equals 1,173 dividends + 94 coupons (cash flow statement p.36). Gives the H2 seasonal residual.	High
Buyback	Net buyback per year (capital reduction less share issues)	84	EUR m	Consolidated financial statements 31/12/2025	8	Guidance: buyback offsets employee plan dilution. FY2025: 402 - 318.	Medium
CapRed25	Share capital reduction FY2025	402	EUR m	Consolidated financial statements 31/12/2025	8		High
Shlss25	Proceeds on issue of shares FY2025	318	EUR m	Consolidated financial statements 31/12/2025	8		High
Disposals (asset rotation)							

DispTotal	Disposal programme	2,000 EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	29	'EUR 2bn+ disposal program will be delivered by mid 2028.' Gross or net, and whether H1-26 disposals count, is not stated.	Medium
DispShare	Share of programme cashed by 31/12/2027	75.0% %	Judgement		Straight-line to mid-2028 from late 2025 gives ~80%; trimmed for back-loading of large disposals.	Low
DispShareH2	Of which in H2 2026	20.0% %	Judgement		Only EUR 73m of financial disposals in H1-2026 (p.27).	Low
DispMult	EV/EBITDA multiple of assets sold	10.00x	Judgement		Each EUR of disposal also removes EBITDA from the ratio's denominator. No published multiple.	Low
EBITDA trajectory						
Org26	Organic EBITDA growth 2026	5.5% %	Amendment to 2025 URD - Half-year report 30/06/2026	29	Guidance +5% to +6%, mid-point.	Medium
FX26	FX effect on EBITDA 2026	(0.9%) %	Amendment to 2025 URD - Half-year report 30/06/2026	22	H1-2026 FX effect -0.9%, extrapolated to the year.	Low
Org27	Organic EBITDA growth 2027	5.0% %	Capstone Project Briefing	20	GreenUp 'organic growth of around 5% a year'.	Medium
CE_EV	Clean Earth price	3,040 USD m	Capstone Project Briefing	21	Briefing table. H1-2026 report (p.14) gives USD 2,989m closing price.	Medium
CE_Mult	Clean Earth EV / 2026e EBITDA post-synergies	9.80x x	Capstone Project Briefing	21		Medium
CE_Syn	Clean Earth run-rate synergies (year 4)	120 USD m	Capstone Project Briefing	21		Medium
CE_SynPh27	Share of synergies achieved in 2027	25.0% %	Judgement		Year 1 of 4; H1-2026 report says synergies begin in 2027 (p.13).	Low
USD_EUR	USD per EUR at closing	1.176 USD/EUR	Amendment to 2025 URD - Half-year report 30/06/2026	14	USD 2,989m = EUR 2,542m on 01/06/2026.	High
CE_Months26	Clean Earth months consolidated in 2026	7.000 months	Amendment to 2025 URD - Half-year report 30/06/2026	14	Closed 1 June 2026.	High
EBITDA27_ovr	EBITDA 2027 override (0 = use trajectory)	- EUR m	Capstone Project Briefing	20	Set to 8,000 to test the GreenUp target ('at least EUR 8bn in 2027').	-
Constraint and deal assumptions						
Lmax	Leverage cap at 31/12/2027	3.00x x	Capstone Project Briefing / Amendment to 2023 URD - Half-year report 30/06/2024	20 / 12	GreenUp: 'financial leverage less than or equal to 3x'.	High
Lguid26	Leverage guidance end-2026	3.00x x	Amendment to 2025 URD - Half-year report 30/06/2026	29	'3x or slightly above, Clean Earth included' - used as a validation check only.	High
DealMult	EV/EBITDA paid on new acquisitions	10.00x x	Capstone Project Briefing	21	Anchored on ~9.8x (Clean Earth) and ~11x (WTS minorities).	Medium
ProForma	Share of acquired EBITDA counted in 2027 ratio	- %	Judgement		0 = conservative (deal closes late 2027 or ratio uses reported EBITDA). Ask Veolia whether the covenant/guidance ratio is pro forma.	Low
FX_H2	FX / other on NFD, H2 2026	- EUR m	Judgement		H1-2026: -260 (p.26). USD share of debt has risen with Clean Earth.	Low
FX_27	FX / other on NFD, 2027	- EUR m	Judgement		Positive = debt increases.	Low
Liquidity (for the cash-availability formula)						
Cash_J26	Cash, cash equivalents and liquid assets 30/06/2026	9,332 EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	14	'Cash stands at EUR 9,332 million'. Equals 7,288 cash + 2,044 liquid assets (p.28).	High
Undrawn_J26	Undrawn committed credit lines 30/06/2026	5,873 EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	14	Syndicated loan 4,500 (matures 2030) + bilateral lines 1,373. Counted as 'permitted borrowing'; new bond issues are not counted.	High
CurDebt_J26	Current debt incl. overdrafts 30/06/2026 (due within 12 months)	11,374 EUR m	Amendment to 2025 URD - Half-year report 30/06/2026	28	Mostly commercial paper and bonds due by June 2027. Treated as repaid, not rolled over (prudent).	High
Mat27	Contractual debt flows due in calendar 2027	3,891 EUR m	Consolidated financial statements 31/12/2025	66	Undiscounted, incl. interest, at 31/12/2025.	Medium
Mat27H2	Share of 2027 flows falling in H2 2027 (not already in current debt)	50.0% %	Judgement		Timing within 2027 not published.	Low
MinCash	Minimum cash reserve	2,000 EUR m	Judgement		No published floor. Veolia has held EUR 7-10bn of cash at every reporting date; EUR 2bn is a working floor to debate.	Low
Committed	Investments already committed, not yet paid	- EUR m	Consolidated financial statements 31/12/2025	18	The only securities purchase commitment at 31/12/2025 was Clean Earth, paid June 2026. Industrial capex is already inside net FCF.	Medium
Rating cross-check (unverified - read the PDF before using)						
Moody_Fcst27	Moody's forecast FFO / net debt 2027	19.5% %	Moody's Credit Opinion 04/05/2026 (veolia.com) - NOT YET VERIFIED		Search-result extract only; the PDF could not be downloaded from this environment.	Low
Moody_Trig	Moody's downgrade threshold FFO / net debt ('below the high teens')	18.0% %	Moody's Credit Opinion 04/05/2026 (veolia.com) - NOT YET VERIFIED		'High teens' read as 18%. Agency wording, not a number: judgement.	Low

Legend: blue = sourced input; black = derived from other inputs; yellow fill = judgement call the group must defend.

Period	Item	Gross acquisitions (EUR m)	Disposals (EUR m)	Basis	Source	PDF page	Booster?
A. Named deals (net financial investment as published)							
2024	Friedrich Hofmann (recycling, Germany)	315		Deal price	Amendment to 2023 URD - Half-year report 30/06/2024	29	No
2025	Danubius (electricity flexibility, Hungary)	271		Net financial investment	Consolidated financial statements 31/12/2025	17	Yes
2025	WTS 30% minority buy-out from CDPQ	1,500		Purchase price (USD 1.75bn)	Consolidated financial statements 31/12/2025	17	Yes
2025	US hazardous waste tuck-ins + Chameleon	247		Net financial investment	Consolidated financial statements 31/12/2025	17	Yes
2025	Zeeklite (hazardous waste, Japan)	85		Net financial investment	Consolidated financial statements 31/12/2025	17	Yes
H1-26	Enviro Pacific Services (Australia)	137		Net financial investment	Amendment to 2025 URD - Half-year report 30/06/2026	27	Yes
H1-26	Clean Earth (US) incl. IFRS 16 debt and costs	2,778		Net financial investment	Amendment to 2025 URD - Half-year report 30/06/2026	27	Yes
B. All financial flows (cash flow statement basis, comparable across years)							
2024	Purchases of investments + NCI partial purchases / disposals + N	514	950	Cash flow statement	Consolidated financial statements 31/12/2025	7-8	
2025	Purchases of investments + NCI partial purchases / disposals + N	2,265	96	Cash flow statement	Consolidated financial statements 31/12/2025	7-8	
H1-26	Financial acquisitions / financial disposals (Veolia NFI basis)	2,942	73	Net financial investments	Amendment to 2025 URD - Half-year report 30/06/2026	27	
2023	FY2023 not covered by the documents loaded (only H1-2023: -241 / +183)			GAP	Amendment to 2023 URD - Half-year report 30/06/2024	29	
	Envelope announced (GreenUp 'EUR 4bn in growth investments')	4,000		<i>Briefing p.20 says 'acquisitions over 2023-2027'; the 2024 GreenUp text (H1-24 p.12) says '2024-2027 growth investments'. The scope is not the same thing.</i>			
	Named deals, gross	5,333					
	Named deals in boosters	5,018		<i>Envelope says EUR 2bn prioritised for boosters.</i>			
	All financial acquisitions 2024-H1-26, gross	5,721		<i>Mixes CF-statement basis (2024-25) and NFI basis (H1-26): conservative order of magnitude.</i>			
	All financial disposals 2024-H1-26	1,119		<i>2024 includes SADE and Haikou (pre-programme).</i>			
	All financial acquisitions, net of disposals	4,602					
	Envelope remaining - gross reading	(1,721)		<i>Negative = envelope already exceeded.</i>			
	Envelope remaining - net reading	(602)					

Metric (EUR m)	Dec-24	Jun-25	Dec-25	Jun-26	Note
Net financial debt (Veolia definition)	17,819	20,764	19,657	24,548	Dec-25 statutory note shows 19,821: the 164 gap must be explained in the report.
EBITDA - fiscal year / LTM	6,788	6,889	7,050	7,235	June columns = last twelve months (FY - previous H1 + current H1).
Leverage NFD / EBITDA	2.63x	3.01x	2.79x	3.39x	June ratios are seasonally high (dividend and WCR outflows land in H1) - do not compare with the year-end 3x cap.

Debt maturity profile at 31/12/2025 (undiscounted contractual flows incl. interest)

Line (EUR m)	2026	2027	2028	2029	Source
Bond issues	1,924	3,043	2,447	1,781	Consolidated financial statements 31/12/2025, PDF p.66
Other liabilities and overdrafts	7,219	465	728	302	Consolidated financial statements 31/12/2025, PDF p.66
IFRS 16 lease debt	499	384	317	198	Consolidated financial statements 31/12/2025, PDF p.66
Total	9,642	3,892	3,492	2,281	

Liquidity and rating at 30/06/2026

Total liquid assets	15,205	H1-26 p.28
Current debt incl. overdrafts	11,374	H1-26 p.28
Net liquidity	3,831	Matches 3,831 published (p.14)
2026 bond issues (Jan EUR 2.5bn + Apr EUR 1.0bn + Jun EUR 0.4bn cc	3,900	H1-26 p.14: 2027 maturities pre-financed in part
Rating	BBB / Baa1, stable	S&P 27/04/2026, Moody's 04/05/2026 (H1-26 p.14)
Bond/bank documentation financial covenants at parent	None	FY25 p.67: the 3x is a public commitment, not a covenant - the binding constraint is the rating

Engine - one column per case (EUR m unless stated)

Case				
	Base	GreenUp met	Downside	Upside
Description	Trajectory	EBITDA 2027 = EUR 8.0bn	Slower growth, half the disposals, USD/FX drag	Full disposals by 2027, pro forma ratio
Drivers (green = linked to Inputs, blue = case override)				
Net financial debt 30/06/2026	24,548	24,548	24,548	24,548
Net FCF FY2025	1,178	1,178	1,178	1,178
Net FCF growth per year 2026-27	1.5%	1.5%	-	1.5%
Net FCF H1 2026 (actual)	(288)	(288)	(288)	(288)
Clean Earth incremental net FCF 2027	-	-	-	-
Parent dividend paid 2026 (on FY2025)	1,099	1,099	1,099	1,099
Parent dividend growth 2027	8.0%	8.0%	8.0%	8.0%
Dividends to minorities per year	257	257	257	257
Dividends paid FY2025, cash flow statement	1,280	1,280	1,280	1,280
Hybrid coupons paid FY2025	121	121	121	121
Hybrid stock end-2025	4,100	4,100	4,100	4,100
Hybrid redeemed Feb-2026	850	850	850	850
Dividends + coupons in H1-2025 NFD bridge	1,267	1,267	1,267	1,267
Net buyback per year (capital reduction less share issues)	84	84	84	84
Disposal programme	2,000	2,000	2,000	2,000
Share of programme cashed by 31/12/2027	75.0%	75.0%	50.0%	100.0%
Of which in H2 2026	20.0%	20.0%	20.0%	20.0%
EV/EBITDA multiple of assets sold	10.00x	10.00x	8.00x	12.00x
Organic EBITDA growth 2026	5.5%	5.5%	5.5%	5.5%
FX effect on EBITDA 2026	(0.9%)	(0.9%)	(0.9%)	(0.9%)
Organic EBITDA growth 2027	5.0%	5.0%	4.0%	6.0%

EBITDA FY2025	7,050	7,050	7,050	7,050
Clean Earth price	3,040	3,040	3,040	3,040
Clean Earth EV / 2026e EBITDA post-synergies	9.80x	9.80x	9.80x	9.80x
Clean Earth run-rate synergies (year 4)	120	120	120	120
Share of synergies achieved in 2027	25.0%	25.0%	25.0%	25.0%
USD per EUR at closing	1.176	1.176	1.176	1.176
Clean Earth months consolidated in 2026	7.000	7.000	7.000	7.000
EBITDA 2027 override (0 = use trajectory)	-	8,000	-	-
Leverage cap at 31/12/2027	3.00x	3.00x	3.00x	3.00x
Leverage guidance end-2026	3.00x	3.00x	3.00x	3.00x
EV/EBITDA paid on new acquisitions	10.00x	10.00x	10.00x	10.00x
Share of acquired EBITDA counted in 2027 ratio	-	-	-	100.0%
FX / other on NFD, H2 2026	-	-	-	-
FX / other on NFD, 2027	-	-	300	-

Calculation

Clean Earth EBITDA 2026e, full year (EUR m)	162	162	162	162
Clean Earth synergies in 2027 (EUR m)	26	26	26	26
Net FCF FY2026e	1,196	1,196	1,178	1,196
Net FCF H2 2026e (FY less H1 actual)	1,484	1,484	1,466	1,484
Net FCF FY2027e	1,214	1,214	1,178	1,214
Dividends + coupons H2 2026 (FY25 residual)	134	134	134	134
Hybrid coupons 2027 (after Feb-26 redemption)	96	96	96	96
Parent dividend 2027	1,187	1,187	1,187	1,187
Total dividends, coupons, buyback 2027	1,624	1,624	1,624	1,624
Disposals cashed Jul-26 to Dec-27	1,500	1,500	1,000	2,000
of which H2 2026	300	300	200	400
of which 2027	1,200	1,200	800	1,600
NFD 31/12/2026e	22,982	22,982	23,100	22,882
EBITDA 2026e	7,469	7,469	7,469	7,469

Leverage 31/12/2026e	3.08x	3.08x	3.09x	3.06x
Check vs guidance '3x or slightly above'	consistent	consistent	consistent	consistent
NFD 31/12/2027e before any new acquisition	22,192	22,192	23,046	21,692
EBITDA 2027e before disposals (trajectory or override)	7,938	8,000	7,863	8,014
EBITDA removed by disposals (H2-26 full year, 2027 half year)	90	90	75	100
EBITDA 2027e	7,848	7,910	7,788	7,914
Leverage 31/12/2027e before new acquisitions	2.83x	2.81x	2.96x	2.74x
Maximum NFD at cap	23,545	23,730	23,364	23,741
Leverage headroom 31/12/2027 (debt room)	1,353	1,538	318	2,049
ACQUISITION CAPACITY Jul-26 to Dec-27 (EV, EUR m)	1,353	1,538	318	2,928
Source 1 - retained FCF (FCF less dividends, coupons, buyback,	856	856	502	856
Source 2 - disposals, net of the debt room they cost	1,230	1,230	775	1,700
Source 3 - leverage room vs Jun-26 debt (cap x EBITDA before c	(733)	(548)	(959)	(507)
Source 4 - acquired EBITDA counted in ratio (pro forma uplift)	-	-	-	878
Check: sources sum to capacity	-	-	-	-

Block 5 - one-way sensitivity of acquisition capacity (EUR m)

Base capacity **1,353**

Driver	Low input	High input	Capacity @ low	Capacity @ high	Swing	Rank key
EBITDA 2027 level	7,750	8,250	788	2,288	1,500	1500.000005
Organic EBITDA growth 2027	4.0%	6.0%	1,127	1,579	452	452.163568572969
Net FCF growth p.a.	(3.0%)	5.0%	1,194	1,479	285	284.604807000001
Disposals cashed by end-2027	50.0%	100.0%	943	1,763	820	820.000008
Multiple on assets sold	7.00x	13.00x	1,238	1,416	178	178.021987021974
Parent dividend growth 2027	4.0%	10.0%	1,397	1,331	66	65.9400100000023
FX / other on NFD 2027 (EUR m)	400	(400)	953	1,753	800	800.000011
Acquired EBITDA in 2027 ratio	-	100.0%	1,353	1,933	580	579.970583132737
Multiple paid on acquisitions	8.00x	12.00x	1,353	1,353	-	0.000013
Clean Earth EV/EBITDA (sets its EBITDA)	11.50x	8.50x	1,230	1,480	250	249.941448021934
Leverage cap	2.90x	3.10x	568	2,138	1,570	1569.67519394184

Ranked by swing

Rank / driver	Capacity @ low	Capacity @ high	Swing
1. Leverage cap	568	2,138	1,570
2. EBITDA 2027 level	788	2,288	1,500
3. Disposals cashed by end-2027	943	1,763	820
4. FX / other on NFD 2027 (EUR m)	953	1,753	800
5. Acquired EBITDA in 2027 ratio	1,353	1,933	580
6. Organic EBITDA growth 2027	1,127	1,579	452
7. Net FCF growth p.a.	1,194	1,479	285
8. Clean Earth EV/EBITDA (sets its EBITDA)	1,230	1,480	250
9. Multiple on assets sold	1,238	1,416	178
10. Parent dividend growth 2027	1,397	1,331	66
11. Multiple paid on acquisitions	1,353	1,353	-

Rating cross-check - is the agency trigger tighter than 3x? (LOW CONFIDENCE until PDF read)

Moody's forecast FFO/net debt 2027

19.5% *Moody's metric, Moody's-adjusted debt: not comparable with Veolia NFD.*

Downgrade threshold (judgement on 'high teens')

18.0%

Extra debt tolerable before trigger, as % of Moody's forecast debt

8.3% *FFO held constant: the acquired company's FFO would add back some room.*

Applied to base-case NFD 31/12/2027 before M&A (proxy)

1,849 *Proxy only: assumes Moody's forecast already embeds Veolia's plan.*

Compare: leverage headroom at 3.0x, base case

1,353

Which constraint binds?

3x commitment *To be redone once the Moody's and S&P reports are attached.*